

In early February, when price attempted to reach the previous high, it fell short, dipped down for a few days, and tried again (the two right shoulders). The second rise was even shorter than the prior one, signaling weakness, so Henry started selling immediately.

The failure of price to sail across the pattern and touch the top of the broadening formation meant it was a partial rise. A partial rise in a broadening top suggests a downward breakout will follow.

By the time the stock pulled back up to the base of the two right shoulders (point B), Henry had sold his holdings. As he was getting ready to leave his office for home, something on his computer screen caught his eye. The broadening pattern had changed into a complex head-and-shoulders top. There were the two left shoulders balancing the two right ones with a head perched in the center.

Henry discussed the new situation with his mentor and his fund manager buddies, and then decided to short the stock. By the time price reached the long-term up trendline, he had a tidy sum sold short.

Two days later, price tumbled. It dropped 20% or \$5 a share in 1 day and continued down. In less than a week, it was at 16 before finding some support, a plummet of 36%.

Henry had studied the behavior of dead-cat bounces, and he pulled out his notes and brushed up. He knew the stock would bounce, usually within a week, and then trend lower.

True to form, price moved up a bit (to 18.13), but it was not the smooth, rounded bounce he expected. In the coming days, price moved lower, so Henry quit complaining, but he watched the situation closely.

The stock bottomed out at about 16 and trended horizontally. "It looked like the stock was building a base and preparing for an upward move, so I covered half of the short position. In late April, when price jumped up to 18.50, I covered the remainder of the position. I made a chunk of change on that one."